

Market Risk Trading Book Data Gap

Problem

Trading book instruments lack sufficient reference data to assign market risk weights.

Regulatory Requirements

Basel III/IV, market risk standardized approach.

Options Considered

A: Apply conservative risk weight. B: Leave blank. C: Create exception queue.

Decision

Apply conservative risk weight and create exception queue.

Reasoning

A conservative default prevents underestimation while issues are resolved.

Risks

Overstated capital, client pushback, exception backlog.